AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

1 June 2026 · the qualitative

Caris Life Sciences

$18.33

NASDAQ : CAI · Mature-Company DCF

$5.1B mkt cap · 278M sh · $800M cash, $378M net debt · FY25 revenue $812M (+97%!); GM 47%→65%; adj-EBITDA +$138M; FCF-POSITIVE, near GAAP breakeven; IPO Jun-2025 @ $21; now $18.33 (~13% below offer); FY26 guide $1.0-1.02B (+24%); ~$0.42B net cash; Halbert ~42% vote; SBC ~$70M flatters adj-EBITDA; ~$33M of FY25 rev was reimbursement true-ups

THE CENTRAL QUESTION

Caris trades at ~6.5x sales like Tempus, yet screens positive where Tempus screened rich — is being FCF-positive at GAAP breakeven, with a real 47%-to-65% margin inflection, enough to justify the price?

Caris Life Sciences is an AI precision-oncology diagnostics company — whole-exome and whole-transcriptome tumor profiling plus blood-based testing — that IPO'd June 2025 at $21.00 and now trades $18.33, ~13% below its offer. FY2025 revenue grew 97% to $812M, gross margin expanded 47%→65%, and unlike most diagnostics scalers it is already free-cash-flow positive with +$138M adj-EBITDA, near GAAP breakeven. The DCF asks whether the margin inflection holds as growth steps down to a +24% guide. Weighted fair value $23.63, ~29% above spot — base ~fair, the upside in the data-moat tail.

PROBABILITY-WEIGHTED EXPECTED VALUE

$23.63 expected fair value today

+28.9% vs spot $18.33

FORWARD COMPOUNDED VALUE

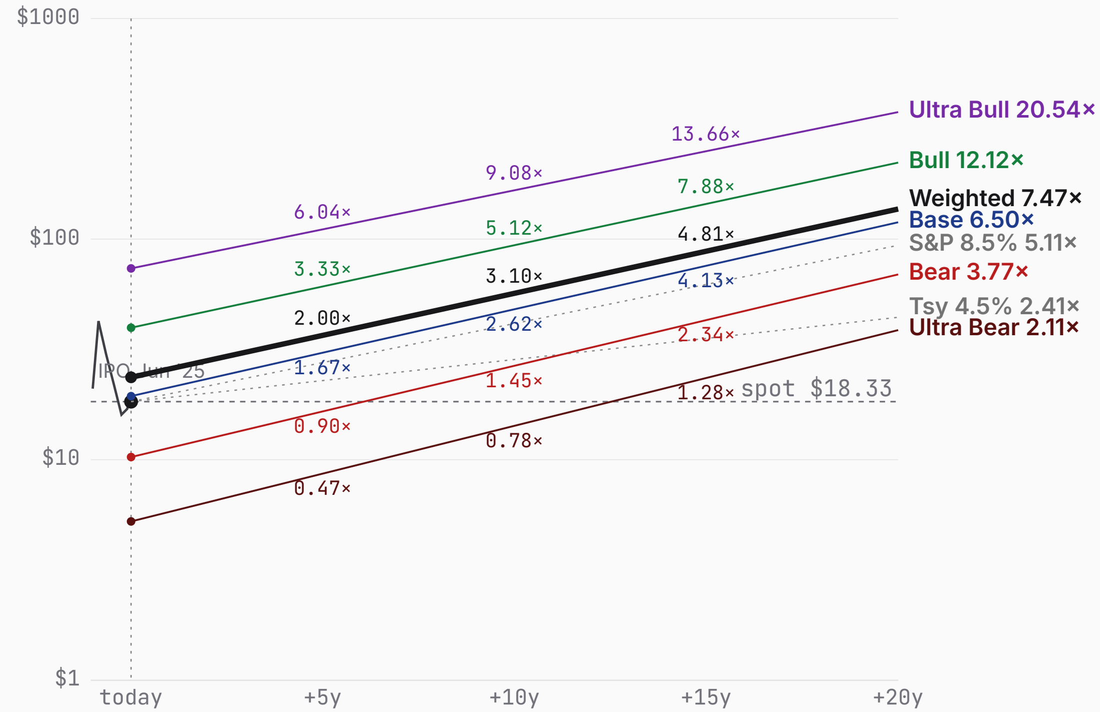
+5y	+10y	+15y	+20y
$36.62	$56.81	$88.16	$136.92
2.00× spot	3.10× spot	4.81× spot	7.47× spot

WEIGHTING RATIONALE

Ultra Bear 13% Growth ~6.6%, the reimbursement true-up reverses, margins stay near zero — DCF $5.25.
Bear 27% Decelerates to ~11.9%, pricing pressure bites, the multiple re-rates down — DCF $10.28.
Base 33% ~16.7% growth, margin inflection holds to 21% owner-FCF — DCF $19.41, roughly fair at spot.
Bull 18% ~22% hypergrowth, the data moat drives operating leverage — DCF $39.65.
Ultra Bull 9% ~27% growth, oncology-data standard, software-like 35% margins — DCF $73.64.

Bull (18%) + Ultra Bull (9%) together contribute $13.76 — 58% of the $23.63 expected value despite 27% combined probability. Today's spot ($18.33) sits 22% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$5.25	$10.28	$19.41	$39.65	$73.64
-71.4% vs spot	-43.9% vs spot	+5.9% vs spot	+116.3% vs spot	+301.7% vs spot
CAGR +6.6% WACC 10.5%	CAGR +11.9% WACC 10.0%	CAGR +16.7% WACC 9.5%	CAGR +22.1% WACC 9.0%	CAGR +26.8% WACC 8.5%
CAGR +6.6% Prob 13%	CAGR +11.9% Prob 27%	CAGR +16.7% Prob 33%	CAGR +22.1% Prob 18%	CAGR +26.8% Prob 9%
Growth collapses; true-up reverses	Decelerates; multiple ran ahead	Solid growth, the margin inflection holds	Hypergrowth + data-moat leverage	Becomes the oncology-data standard

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Caris Life Sciences scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 27% Base 33% Bull 18% Ultra Bull 9% · Weighted expected $23.63 (+28.9% vs spot)

ULTRA BEAR $5.25

-71.4% vs spot

Probability 13%

Growth collapses; true-up reverses

WHY 13%

Requires the volume engine to stall near term and the true-up to be a one-off rather than a recurring feature of payer settlements. Possible given the steep step-down already guided, but the cash-positive base makes outright collapse less likely than for a pre-breakeven peer.

WHAT HAPPENS

Revenue compounds only ~6.6% as test-volume growth stalls and reimbursement true-ups reverse rather than recur. The ~$33M of 2025 revenue tied to prior-year reimbursement catch-ups proves non-repeatable, and the reported growth rate is exposed as flattered.

Margins barely move off the floor, holding near 0% owner-FCF as price competition from Tempus, Guardant and Foundation erodes the gross-margin gains. The ~6.5x sales multiple compresses hard against a decelerating, low-margin base. DCF lands at $5.25, down 71%.

BEAR $10.28

-43.9% vs spot

Probability 27%

Decelerates; multiple ran ahead

WHY 27%

The honest deceleration case — going from +97% to a +24% guide is a steep step, and a further undershoot plus pricing pressure is plausible. Weighted at 27% as the most credible downside if the data moat proves shallower than bulls assume.

WHAT HAPPENS

Revenue grows ~11.9% — well below the +24% guide — as competition pressures per-test pricing and the easy share gains slow. The margin inflection partly holds, reaching mid-teens owner-FCF, but not fast enough to outrun a contracting multiple.

The market re-rates a ~6.5x-sales name toward something closer to a low-double-digit grower, and the IPO-era premium unwinds. At a 4%-to-15% margin path the DCF is $10.28, down 44%. The setup is a quality business that was simply priced ahead of its delivery.

BASE $19.41

+5.9% vs spot

Probability 33%

Solid growth, the margin inflection holds

WHY 33%

Centered on management hitting the FY26 guide and sustaining the volume KPI while margins keep inflecting — the continuation of what the last two years already showed. Carries the plurality 33% weight as the most likely path.

WHAT HAPPENS

Revenue compounds ~16.7%, roughly in line with the guided range, as clinical test volume grows around 20% and Caris Assure and MI Cancer Seek add incremental lives. The 47%-to-65% gross-margin move continues toward 21% owner-FCF as fixed lab and data costs leverage.

This is the modal outcome — a real growth-plus-margin story that delivers, not a moonshot. At $19.41 the DCF sits just above the $18.33 price, so the base case is roughly fair. The market is paying about what the business is worth if it simply executes the plan.

BULL $39.65

+116.3% vs spot

Probability 18%

Hypergrowth + data-moat leverage

WHY 18%

Needs growth to stay above 20% well past the guide and the gross-margin gains to keep compounding into operating leverage. Plausible if the data asset is a genuine cornered resource, but it asks the company to outrun a steep deceleration; 18%.

WHAT HAPPENS

Revenue compounds ~22% as the proprietary whole-exome/transcriptome data asset and the ADAPT platform drive both test volume and pharma partnership revenue, while comprehensive profiling takes share from narrower NGS panels.

Operating leverage on a fixed data and lab base pushes owner-FCF toward 29%, software-like for diagnostics. The market rewards durable hypergrowth plus a widening margin with an expanded multiple. DCF reaches $39.65, up 116%, as the data-moat thesis starts to show in the financials.

ULTRA BULL $73.64

+301.7% vs spot

Probability 9%

Becomes the oncology-data standard

WHY 9%

The full platform win — durable hypergrowth, a true data-network effect, and software-like margins together. Each is individually demanding and the combination is a tail, so it carries 9% — meaningful upside optionality, not a central expectation.

WHAT HAPPENS

Revenue compounds ~27% as Caris establishes its molecular database as the reference standard for oncology decision-making, with comprehensive profiling, blood-based MRD and the ADAPT AI layer compounding into a network where more tests improve the data and the data wins more tests.

Owner-FCF margins reach ~35%, approaching software economics as the data and AI layer scales near-zero-marginal-cost. At $73.64 the DCF is triple the price. This is the platform outcome where the cornered data resource and scale economics fully express.

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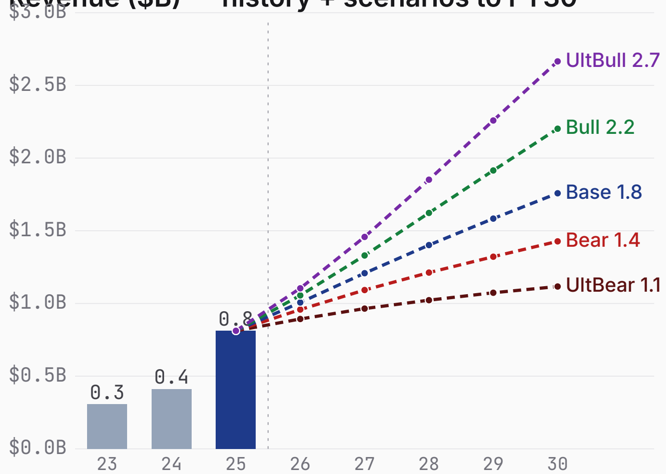
1 June 2026 · the snapshot

Caris Life Sciences business snapshot

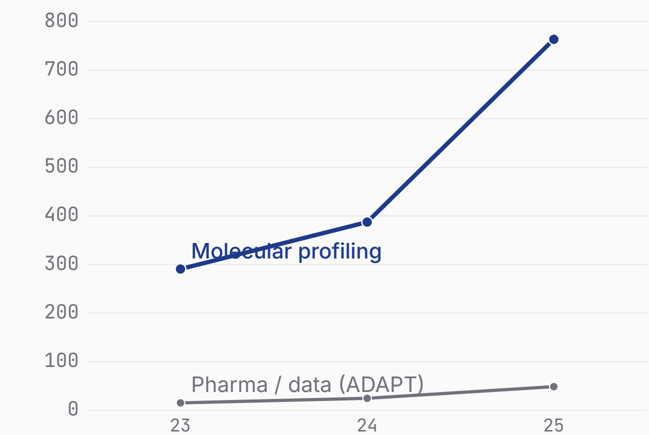
Bear $10.28 Base $19.41 Bull $39.65

FY23-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · FY2025 + Q1'26 results (IPO Jun'25)

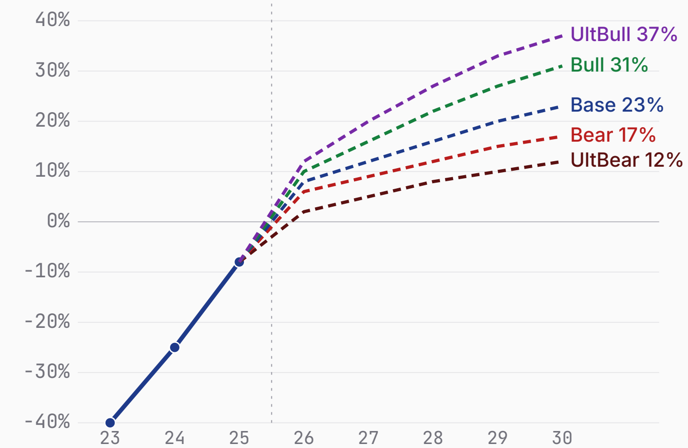
Revenue ($B) — history + scenarios to FY30



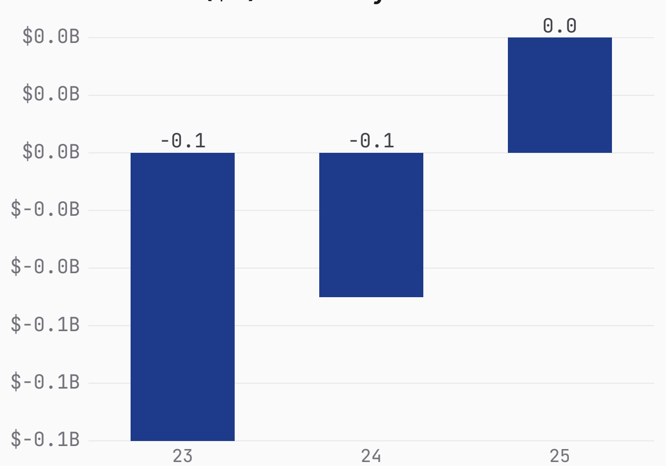
Revenue by segment ($M)



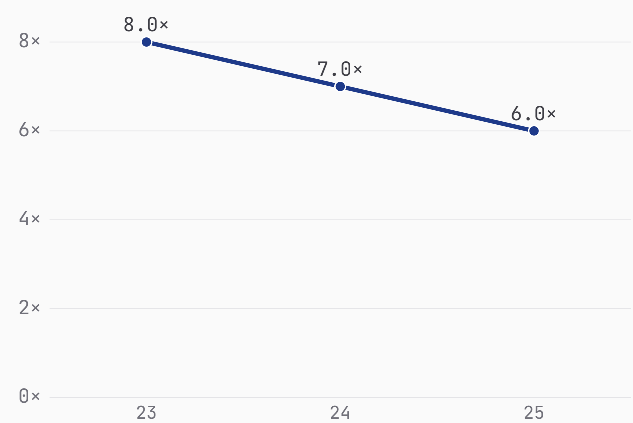
Op margin — history + scenarios



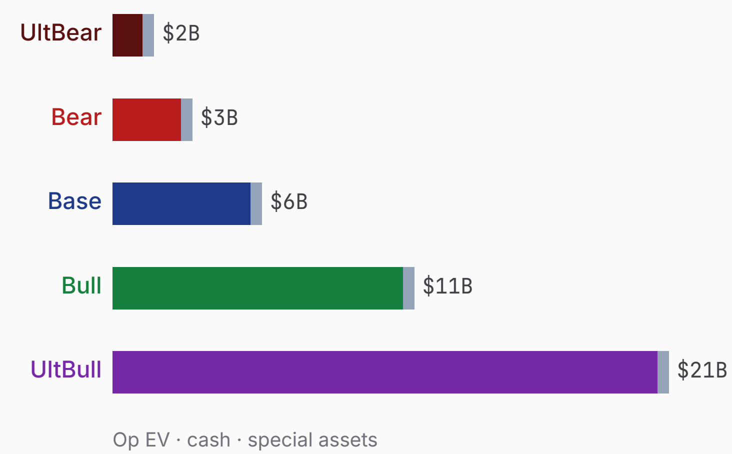
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: Caris Life Sciences FY2025 results + Q1'26 (CIK 2019410), IPO 424B4 (Jun 2025), FY26 guidance. Revenue as a growth-rate path off FY25 ($812M, +97%); FCF = revenue x an SBC-adjusted owner-FCF margin (already positive; SBC ~$70M deducted); Gordon terminal at scenario WACC. Pre-IPO history/EV-rev are notional. EV/sales vs precision-diagnostics peers.

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Caris Life Sciences 7 Powers · the moat, scored

Bear $10.28 Base $19.41 Bull $39.65

Arena. Comprehensive molecular diagnostics and oncology data — Caris competes with Tempus, Guardant, Roche's Foundation Medicine, Natera and Exact Sciences for tumor-profiling and liquid-biopsy volume.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies	2/3	Fixed lab and data-platform costs leverage as test volume compounds; +97% growth drove gross margin 47% to 65%.
Network Economies	2/3	More tests enrich the molecular database, which sharpens the ADAPT AI and wins more clinician and pharma demand.
Counter-Positioning	1/3	Whole-exome/transcriptome depth is hard for pure-NGS-panel incumbents to match without re-tooling, but not a true business-model trap.
Switching Costs	1/3	Clinician workflow integration and longitudinal patient data create some stickiness, modest versus entrenched EHR or pathway tools.
Branding	1/3	Growing reputation in oncology decision support, but clinical results and reimbursement, not brand, drive adoption.
Cornered Resource · thesis leans here	2/3	The proprietary whole-exome/transcriptome dataset plus the ADAPT platform — the deepest differentiator and the basis of the data moat.
Process Power	1/3	Integrated profiling-plus-AI workflow is hard to replicate quickly, but rivals are closing on capability.

PEER SET

Tempus (TEM) — 25% gr · ~6x sales
AI-precision-oncology data peer; near-breakeven, the direct comp

Guardant Health — 20% gr · -10% mgn · ~6x sales
Liquid-biopsy leader, still loss-making, overlaps in blood-based testing

Foundation Medicine — · division
Roche-owned tumor-profiling division; deep-pocketed incumbent, not standalone-priced

Natera — 30% gr · ~9x sales
Genetic testing and MRD; faster-growing, ~breakeven, richer multiple

THREAT VECTORS · FALSIFIERS

scale/pricing · Tempus, Guardant, Foundation
falsifier: Per-test reimbursement or list pricing falls under competitive and payer pressure, halting the gross-margin inflection.

Cornered Resource · Tempus, Roche, Natera
falsifier: A rival assembles a comparable comprehensive-profiling dataset, commoditizing the data moat before scale and network effects lock in.

Network Economies · well-capitalized incumbents
falsifier: Volume growth stalls below ~20%, so the data and scale flywheel never reaches the operating leverage the bull case needs.

COMPETITIVE READ

Caris is originating a plausible cornered resource — a proprietary whole-exome/transcriptome dataset feeding the ADAPT AI — with scale and network economics building as volume compounds, already visible in the 47%-to-65% gross-margin move. Durability is medium, not high — Foundation has Roche's balance sheet, Tempus and Natera are building comparable data, and reimbursement pricing is the shared vulnerability. The falsifier the bull must clear is sustained ~20%+ volume growth with the gross margin holding 65%+; if growth decelerates below that or pricing erodes margin, the moat commoditizes before it locks in.

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1 June 2026 · the quantitative

Caris Life Sciences show your work

Bear $10.28 Base $19.41 Bull $39.65 · Weighted $23.63 (+28.9%)

ULTRA BEAR $5.25

ASSUMPTIONS

5y revenue CAGR (%)	+6.6
Year-5 op margin (%)	12.0
WACC (%)	10.5
Terminal growth (%)	3.0
5y revenue CAGR (%)	+6.6
Starting revenue ($B)	0.81
Scenario probability (%)	13

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.89	+2%	+0.00	+0.00
FY27	0.96	+5%	+0.03	+0.02
FY28	1.02	+8%	+0.06	+0.04
FY29	1.07	+10%	+0.09	+0.06
FY30	1.12	+12%	+0.11	+0.07

Σ PV explicit FCF	+0.20
+ PV terminal (g 3.0%)	0.93

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.13B
+ Cash & investments	$0.80B
− Net debt	$0.38B
= Equity value	$1.55B
FY30 shares (M)	295
= Expected per share	$5.25

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$8.65	$14.25	$23.47	$38.67
0.47×	0.78×	1.28×	2.11×

BEAR $10.28

ASSUMPTIONS

5y revenue CAGR (%)	+11.9
Year-5 op margin (%)	17.0
WACC (%)	10.0
Terminal growth (%)	3.5
5y revenue CAGR (%)	+11.9
Starting revenue ($B)	0.81
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.96	+6%	+0.04	+0.04
FY27	1.09	+9%	+0.08	+0.06
FY28	1.21	+12%	+0.12	+0.09
FY29	1.32	+15%	+0.17	+0.12
FY30	1.43	+17%	+0.21	+0.13

Σ PV explicit FCF	+0.44
+ PV terminal (g 3.5%)	2.12

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.56B
+ Cash & investments	$0.80B
− Net debt	$0.38B
= Equity value	$2.98B
FY30 shares (M)	290
= Expected per share	$10.28

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$16.56	$26.66	$42.94	$69.16
0.90×	1.45×	2.34×	3.77×

BASE $19.41

ASSUMPTIONS

5y revenue CAGR (%)	+16.7
Year-5 op margin (%)	23.0
WACC (%)	9.5
Terminal growth (%)	4.0
5y revenue CAGR (%)	+16.7
Starting revenue ($B)	0.81
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.01	+8%	+0.06	+0.06
FY27	1.21	+12%	+0.12	+0.10
FY28	1.40	+16%	+0.20	+0.15
FY29	1.58	+20%	+0.28	+0.20
FY30	1.76	+23%	+0.37	+0.23

Σ PV explicit FCF	+0.74
+ PV terminal (g 4.0%)	4.43

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.17B
+ Cash & investments	$0.80B
− Net debt	$0.38B
= Equity value	$5.59B
FY30 shares (M)	288
= Expected per share	$19.41

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$30.56	$48.10	$75.72	$119.21
1.67×	2.62×	4.13×	6.50×

BULL $39.65

ASSUMPTIONS

5y revenue CAGR (%)	+22.1
Year-5 op margin (%)	31.0
WACC (%)	9.0
Terminal growth (%)	4.5
5y revenue CAGR (%)	+22.1
Starting revenue ($B)	0.81
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.06	+10%	+0.08	+0.08
FY27	1.33	+16%	+0.19	+0.16
FY28	1.62	+22%	+0.33	+0.25
FY29	1.91	+27%	+0.48	+0.34
FY30	2.20	+31%	+0.64	+0.41

Σ PV explicit FCF	+1.24
+ PV terminal (g 4.5%)	9.64

EQUITY BUILD · $B & PER SHARE

Operating EV	$10.88B
+ Cash & investments	$0.80B
− Net debt	$0.38B
= Equity value	$11.30B
FY30 shares (M)	285
= Expected per share	$39.65

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$61.01	$93.87	$144.42	$222.21
3.33×	5.12×	7.88×	12.12×

ULTRA BULL $73.64

ASSUMPTIONS

5y revenue CAGR (%)	+26.8
Year-5 op margin (%)	37.0
WACC (%)	8.5
Terminal growth (%)	5.0
5y revenue CAGR (%)	+26.8
Starting revenue ($B)	0.81
Scenario probability (%)	9

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.10	+12%	+0.11	+0.10
FY27	1.46	+20%	+0.26	+0.22
FY28	1.85	+27%	+0.46	+0.36
FY29	2.26	+33%	+0.70	+0.51
FY30	2.67	+37%	+0.93	+0.62

Σ PV explicit FCF	+1.81
+ PV terminal (g 5.0%)	18.61

EQUITY BUILD · $B & PER SHARE

Operating EV	$20.42B
+ Cash & investments	$0.80B
− Net debt	$0.38B
= Equity value	$20.84B
FY30 shares (M)	283
= Expected per share	$73.64

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$110.73	$166.50	$250.36	$376.45
6.04×	9.08×	13.66×	20.54×

Caris Life Sciences supporting analysis · disclaimers · glossary

Bear $10.28 Base $19.41 Bull $39.65

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1. **Already FCF-positive, unlike Tempus**
Caris is FCF-positive at GAAP breakeven with +97% growth, where the similarly-priced Tempus was barely breakeven — same multiple, further along.

2. **The margin inflection is real**
Gross margin went 47%→65% in a year and Q1'26 posted positive GAAP operating income — observed operating leverage, not promised.

3. **Comprehensive profiling is differentiated**
Whole-exome + whole-transcriptome is deeper than rivals' pure-NGS panels, and the data asset compounds — a cornered resource as volume scales.

4. **Priced below the IPO**
At $18.33 versus a $21.00 offer eight months ago, the base case is roughly fair and the hypergrowth and data-moat tails are not richly priced in.

5. **The true-up flatters the trend**
About $33M of 2025 revenue was prior-year reimbursement catch-ups, and SBC of ~$70M flatters adj-EBITDA — the underlying organic, owner-economics trend is softer than the headlines.

FALSIFICATION TRIGGERS

Bull validation
Test volume sustaining ~20%+ past the FY26 guide; gross margin holding 65%+ and converting to rising owner-FCF.

Bear validation
Growth undershooting the +24% guide; per-test pricing eroding; the 2025 reimbursement true-up not recurring.

Reframe needed
Margin gains reversing, or SBC/dilution making owner-FCF negative despite positive adj-EBITDA — the Tempus 'priced-for-perfection' read.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Comprehensive molecular profiling — Whole-exome (all coding genes) + whole-transcriptome (all RNA) tumor sequencing — broader than rivals' targeted NGS panels.

MI Cancer Seek — Caris's combined DNA/RNA tumor-profiling assay; reimbursement reach is measured in covered lives (>225M).

Caris Assure — The blood-based liquid-biopsy line, including minimal-residual-disease (MRD) monitoring — detecting cancer DNA in blood to track recurrence.

Test-volume KPI — Clinical test volume growth (~20% guided) — the operating metric that drives diagnostics revenue, watched independently of price/mix.

Adj-EBITDA vs owner-FCF — Adj-EBITDA adds back ~$70M of stock comp; owner-FCF treats SBC as a real cost, so it is the more conservative read of cash economics.

Reimbursement true-ups — Catch-up revenue booked when payers settle prior-period claims; ~$33M in 2025 — non-recurring, so it flatters the reported growth rate.